

Retail Research	IPO Note
Sector: Cement	Price Band (Rs): 139 – 147
5 th August 2025	

JSW Cement Ltd.

Company Overview:

JSW Cement Ltd (JCL), part of the multinational conglomerate JSW Group, is amongst the 10 largest cement companies in India in terms of installed capacity and sales volume as of Mar'25. As of Mar'25, the company has an installed clinker and grinding capacity of 6.4 MTPA and 20.6 MTPA respectively. JCL's product portfolio consists of blended cement, ground granulated blast furnace slag (GGBS), ordinary portland cement, screened slag, construction chemicals, waterproofing chemicals, clinkers and a range of allied cementitious products. Further, the company is the largest manufacturer of GGBS in India with a market share of 84.0% in FY25. As of Mar'25, the company operated 7 plants in India which includes 1 integrated unit, 1 clinker unit and 5 grinding units.

Key Highlights:

1. Strategically located manufacturing footprint: As of Mar'25, the company operated 7 plants in India across the states of Andhra Pradesh, Karnataka, Tamil Nadu, Maharashtra, West Bengal and Odisha. Further, JCL has the right to mine across 11 limestone mines in India with an aggregate limestone residual of 1,089.1 MMT as of Mar'25. The clinker and integrated units are strategically located in close proximity to these mines.

2. On-track to double installed capacity and diversify geographical presence: The company has laid out robust capacity expansion plans to increase its installed grinding capacity from 20.6 MTPA as of Mar'25 to 41.9 MTPA and installed clinker capacity from 6.4 MTPA as of Mar'25 to 13.0 MTPA. Further, JCL plans to diversify its geographical presence by setting up 2 greenfield integrated units in Rajasthan and Madhya Pradesh, along with 5 grinding units in Punjab, Odisha, Karnataka, Maharashtra and Uttar Pradesh. All land acquisition and mining rights are in place for the capacity expansion till 41.9 MMTA.

3. Strong corporate lineage of JSW Group: JCL is a part of the multinational conglomerate JSW Group which is engaged in various sectors like steel, energy, infrastructure, maritime, realty, etc. The company derives synergies from the "JSW Brand" and benefit from the scale of its operations by sourcing its key raw materials like blast furnace slag from JSW Steel and power from JSW Energy through long term power purchase agreements. Additionally, the company is able to negotiate competitive sea freight for bulk transport of cargo from JSW Infra due to the group's large shipping volumes, while also leveraging JSW Group's intelligence on coal supply to identify the optimal source of coal for its power plants.

Valuation: JCL is one of the top 10 cement companies in India in terms of installed cement capacity and has strong capacity expansion and regional diversification plans. In medium term, the company is more than doubling its grinding and clinker capacities and also has target to achieve total installed cement capacity of 60 MMTA by mid of next decade. JCL's cement EBITDA/t at Rs 645 in FY25 was dragged by one-time fair value loss on CCPS (now converted into equity), losses in Shiva Cement and its Fujairah JV. In order to improve profitability, the company has identified cost saving strategies with focus on Power & Fuel cost and reduction in lead distance. The profit of its subsidiary company Shiva Cement is expected to improve significantly with the likely commencement of the 1 MMTA grinding capacity in FY26 (the unit is currently being developed by Bhushan Power & Steel and will get transferred to Shiva Cement post commencement). At present, Shiva Cement only has 1.32 MMTA of clinker capacity. At the upper price band of Rs 147, the IPO is priced at FY25 EV/Adj. EBITDA of 28.5x and EV/Ton of \$135.

Issue Details	
Date of Opening	7 th August 2025
Date of Closing	11 th August 2025
Price Band (Rs)	139 – 147
Issue Size (Rs cr)	3,600
Fresh Issue (Rs cr)	1,600
Offer for sale (Rs cr)	2,000
Issue Size (No. of shares)	25,89,92,806 – 24,48,97,959
Face Value (Rs)	10.0
Post Issue Market Cap (Rs cr)	19,038 – 20,041
BRLMs	JM Financial Ltd, Axis Capital Ltd, Citigroup Global Markets India Pvt Ltd, DAM Capital Advisors Ltd, Goldman Sachs (India) Securities Pvt Ltd, Jefferies India Pvt Ltd, Kotak Mahindra Capital Company Ltd, SBI Capital Markets Ltd.
Registrar	KFin Technologies Ltd
Bid Lot	102 shares and in multiples thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of the Issue	
	Estimated utilization from net proceeds (Rs cr)
Part financing for cost of establishing a new integrated cement unit at Nagaur, Rajasthan	800.0
Prepayment or repayment of certain borrowings availed by the company	520.0
General Corporate Purposes*	-
Total	1,600.0

*The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds of the Fresh Issue.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	98,61,34,876	78.6
Public & Others	26,83,86,523	21.4
Total	1,25,45,21,399	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	98,61,34,876	72.3
Public & Others	37,72,30,060	27.7
Total	1,36,33,64,936	100.0

Source: RHP, SSL Research

Note: SBI Capital Markets Ltd. is the BRLM to the issue and hence as per compliance led restrictions, SBI Securities Ltd. cannot assign any rating to the issue. IPO note can be used to understand the business model and decode the key operational and financial metrics.

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from operations	5,837	6,028	5,813
EBITDA	681	933	714
Adj. EBITDA ^{^2}	816	1,074	858
PAT excluding minority interest	137	90	(114)
EBITDA Margin (%)	11.7	15.5	12.3
Adj. EBITDA Margin ^{^2} (%)	14.0	17.8	14.8
PAT Margin excluding minority interest (%)	2.3	1.5	(2.0)
RoE (%)	6.0	3.6	(4.8)
RoCE (%)	5.9	8.9	5.9
P/E (x) ^{^1}	134.8	205.3	-
EV/EBITDA (x)	34.9	25.7	34.3
EV/Adj. EBITDA ^{^2} (x)	29.2	22.3	28.5

Source: RHP, SSL Research

^{^1} Pre-issue based on upper price band

^{^2} Adj. EBITDA is EDITDA adjusted for MTM losses on Compulsorily Convertible Preference Shares (CCPS).

Risk Factors

- **High dependence on raw materials:** The company is dependent on its ability to mine and procure sufficient raw materials, particularly limestone. Any failure to mine or procure limestone may have an adverse impact on production and business activities. Further, the company is also dependent on its related parties, JSW Steel Ltd for the supply of blast furnace slag, a key raw material used for manufacturing of green cementitious products such as ground granulated blast furnace slag and blended cement.
- **Legal risk related to Bhushan Power & Steel Ltd:** The Supreme Court of India has directed for liquidation proceedings against Bhushan Power & Steel Ltd, which is currently constructing the company's Sambalpur, Odisha grinding unit. Bhushan Power & Steel Ltd had agreed to establish and commence operations at this unit by Sep'25, which was proposed to be transferred to Shiva Cement Ltd in accordance with the terms of the agreement. The company is unable to provide assurance that the Sambalpur grinding unit will commence operations within the timeline or at the planned costs and that Bhushan Power & Steel Ltd will not be liquidated. Any adverse occurrence in relation to Bhushan Power & Steel Ltd or in relation to the Sambalpur may have a significant impact on the company's expansion plans and financial condition.
- **Power supply risk:** The cement industry is power-intensive and requires adequate and uninterrupted supply of power & fuel for its operations. During FY23/FY24/FY25, the company sourced 92.9%/61.4%/55.5% of its power demand from state electricity boards and any fluctuation in supply, tariff changes, changes in government policies, regulations, etc may have an adverse impact on the company's performance.
- **Utilization level risk:** Although the JCL maintained healthy utilization levels of 78.8%/84.8%/84.3% for its clinker capacities and 60.4%/67.5%/63.0% for its grinding capacity during FY23/FY24/FY25 respectively, any failure to maintain or increase capacity utilization in the future may have an adverse impact on the company's performance.

Growth Strategy

- Create pan-India footprint by setting up new plants in North and Central India, supplemented by expansions in current regions of operation.
- Continue to deepen presence in existing markets and grow market share.
- Improve operating efficiencies and implement cost reduction measures.
- Focus on sustainable development.

Sales Volume

Particulars	FY23		FY24		FY25	
	Sales Volume (MMT)	as a % of Total Sales Volume	Sales Volume (MMT)	as a % of Total Sales Volume	Sales Volume (MMT)	as a % of Total Sales Volume
Total Cement Sales	5.7	54.3	6.9	55.4	7.1	56.1
Portland Slag Cement (PSC)	4.2	40.3	4.4	34.7	4.0	31.5
Ordinary Portland Cement (OPC)	0.9	8.5	1.9	15.2	2.5	19.7
Composite Cement	0.6	5.5	0.7	5.4	0.6	4.5
Portland Composite Cement (PCC)	-	-	-	-	0.1	0.4
Ground Granulated Blast Furnace Slag	3.9	36.7	5.1	40.5	5.2	41.0
Clinker	1.0	9.0	0.5	4.1	0.4	2.9
Total	10.5	100.0	12.5	100.0	12.6	100.0

Source: RHP, SSL Research

Capacity Utilization

Particulars	FY23		FY24		FY25	
	Installed Capacity (MTPA)	Capacity Utilization (%)	Installed Capacity (MTPA)	Capacity Utilization (%)	Installed Capacity (MTPA)	Capacity Utilization (%)
Grinding	16.3	60.4	20.6	67.5	20.6	62.9
Clinker	5.1	78.8	6.4	84.8	6.4	84.3

Source: RHP, SSL Research

Dealer Network

Particulars	FY23	FY24	FY25
Dealers ^{^1}	5,345	5,043	4,653
Sub-dealers ^{^1}	10,632	10,412	8,844
Direct customers ^{^2}	5,268	6,268	6,559
Influencers ^{^3}	18,321	55,678	57,404

Source: RHP, SSL Research

^{^1} The company serves the retail demand for cement and allied cementitious products in its trade channels through its dealer and sub-dealer network.

^{^2} Direct customers in the non-trade channel comprise builders & institutional customers.

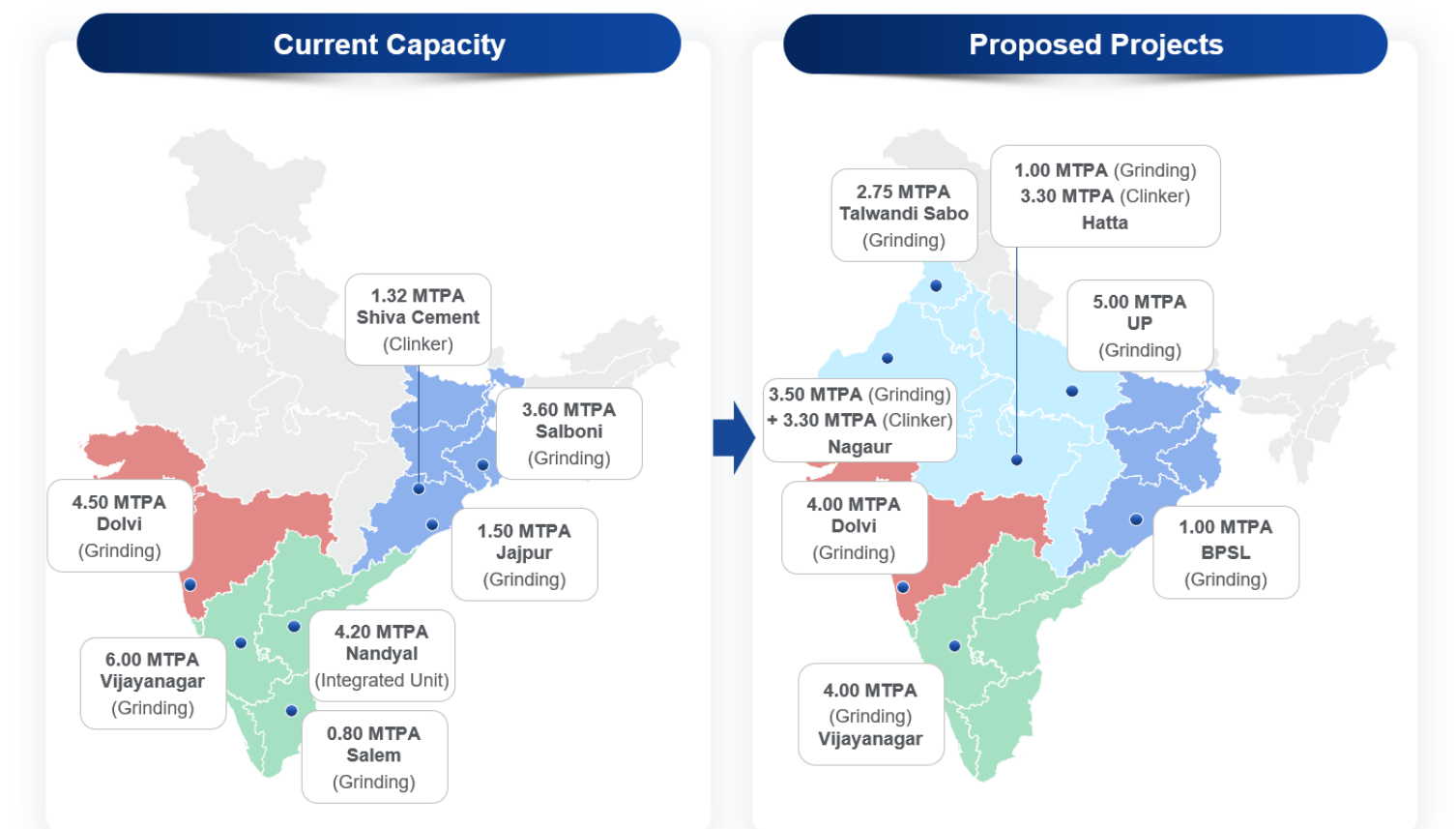
^{^3} Influencers consists of masons, architects and contractors which influence customers to purchase the company's products.

Proposed Expansion Plans

Proposed Plant Location	Region	Plant Type	Expansion Type	Proposed Capacity Addition	
				Clinker	Grinding
Current Capacity as of Mar'25				6.4	20.6
Nagaur, Rajasthan	North	Integrated	Greenfield	3.3	3.5
Talwandi Sabo, Punjab	North	Grinding	Greenfield	-	2.8
Sambalpur, Odisha (Bhushan Power & Steel Ltd)	East	Grinding	Greenfield	-	1.0
Vijayanagar, Karnataka	South	Grinding	Brownfield	-	4.0
Dolvi, Maharashtra	West	Grinding	Greenfield	-	4.0
Hatta, Madhya Pradesh	North	Integrated	Greenfield	3.3	1.0
Uttar Pradesh	North	Grinding	Greenfield	-	5.0
Total Proposed Capacity Expansion Plans				6.6	21.3
Total Capacity post Expansion				13.0	41.9

Source: RHP, SSL Research

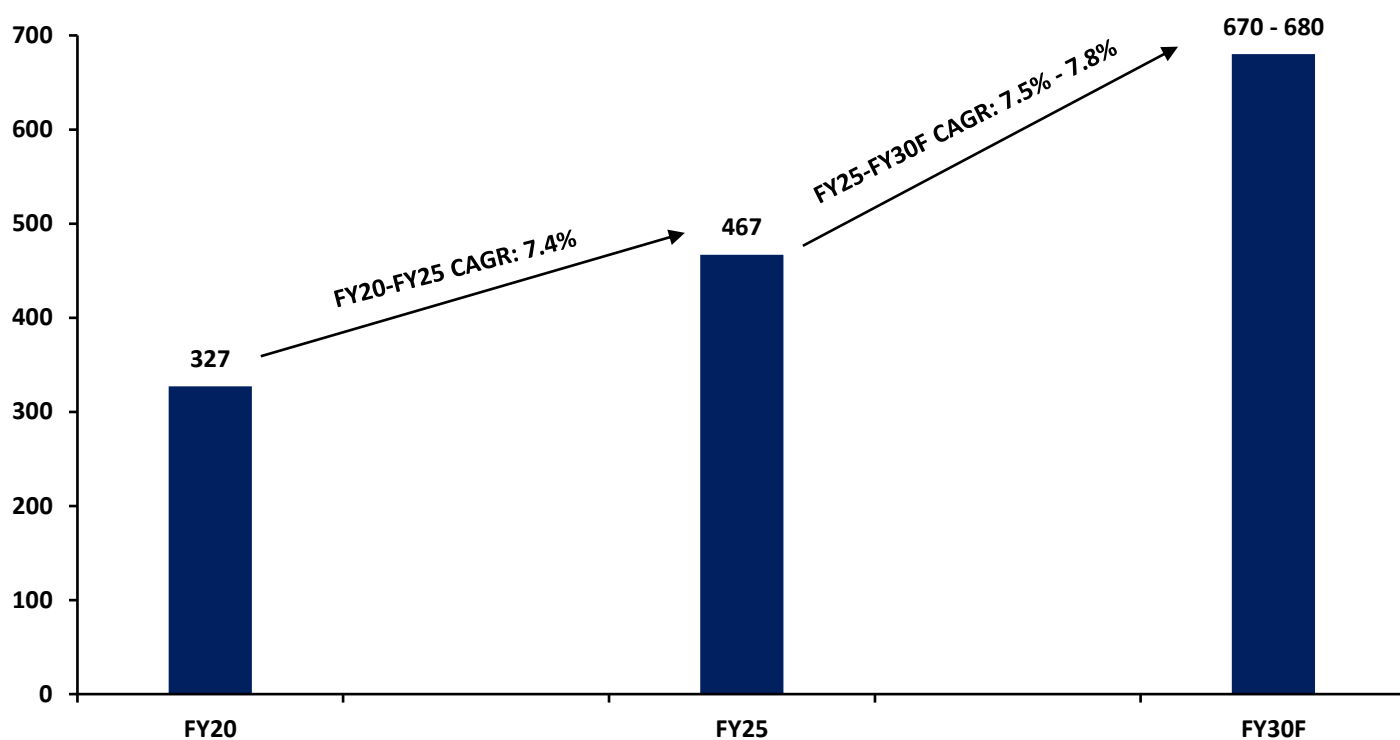
Geographical Presence



Source: RHP, SSL Research

Industry Overview

Pan-India Cement Demand (MT)



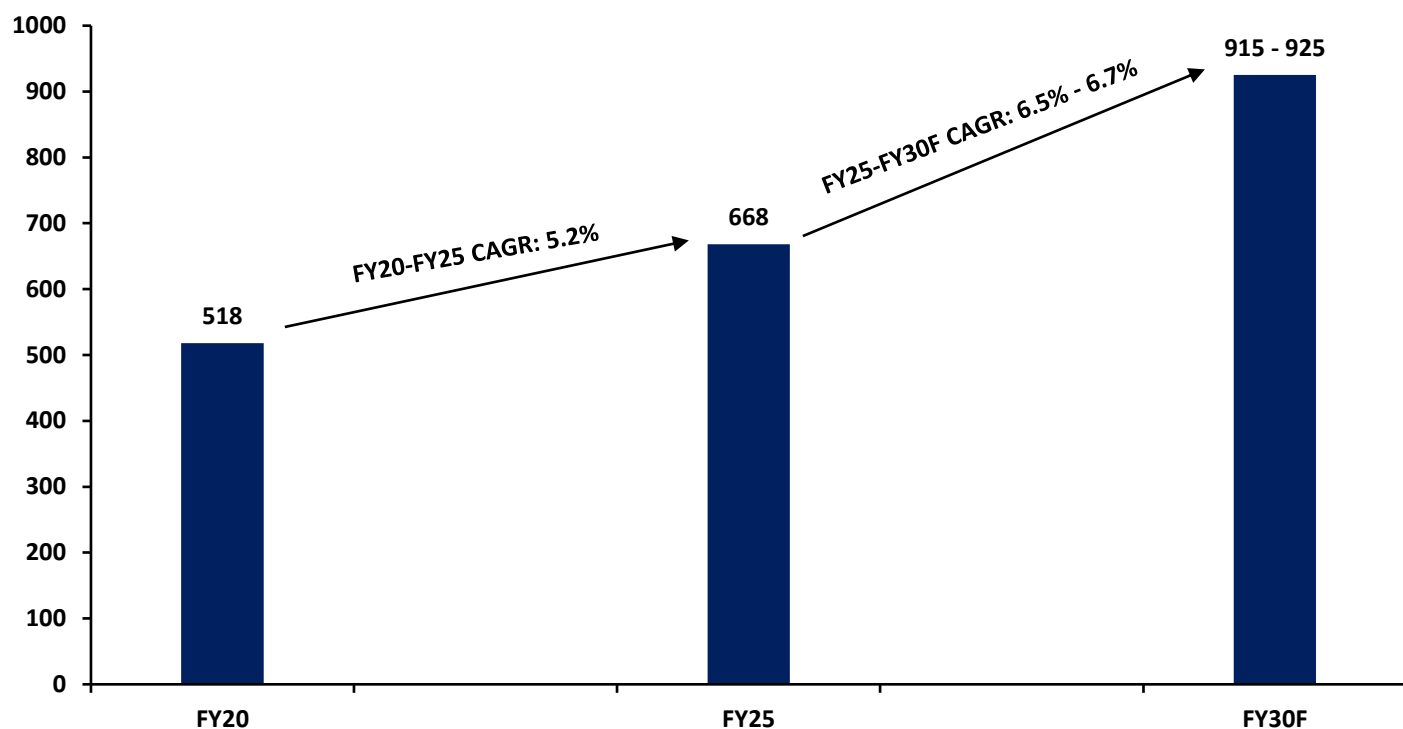
Source: RHP, SSL Research

Pan-India Demand growth – Region wise

	FY23	FY24	FY25	FY26F	FY26F-FY30F
North India	9.0%	12.0%	6.5%	4.0% - 5.0%	6.5% - 7.5%
South India	13.0%	12.5%	2.0%	6.5% - 7.5%	7.0% - 8.0%
East India	16.0%	9.0%	5.0%	6.5% - 7.5%	8.5% - 9.5%
West India	10.0%	13.0%	8.0%	6.0% - 7.0%	6.0% - 7.0%
Central India	12.0%	12.0%	4.0%	7.5% - 8.5%	7.5% - 8.5%
Pan-India	12.0%	11.0%	5.0%	6.5% - 7.5%	7.5% - 8.5%

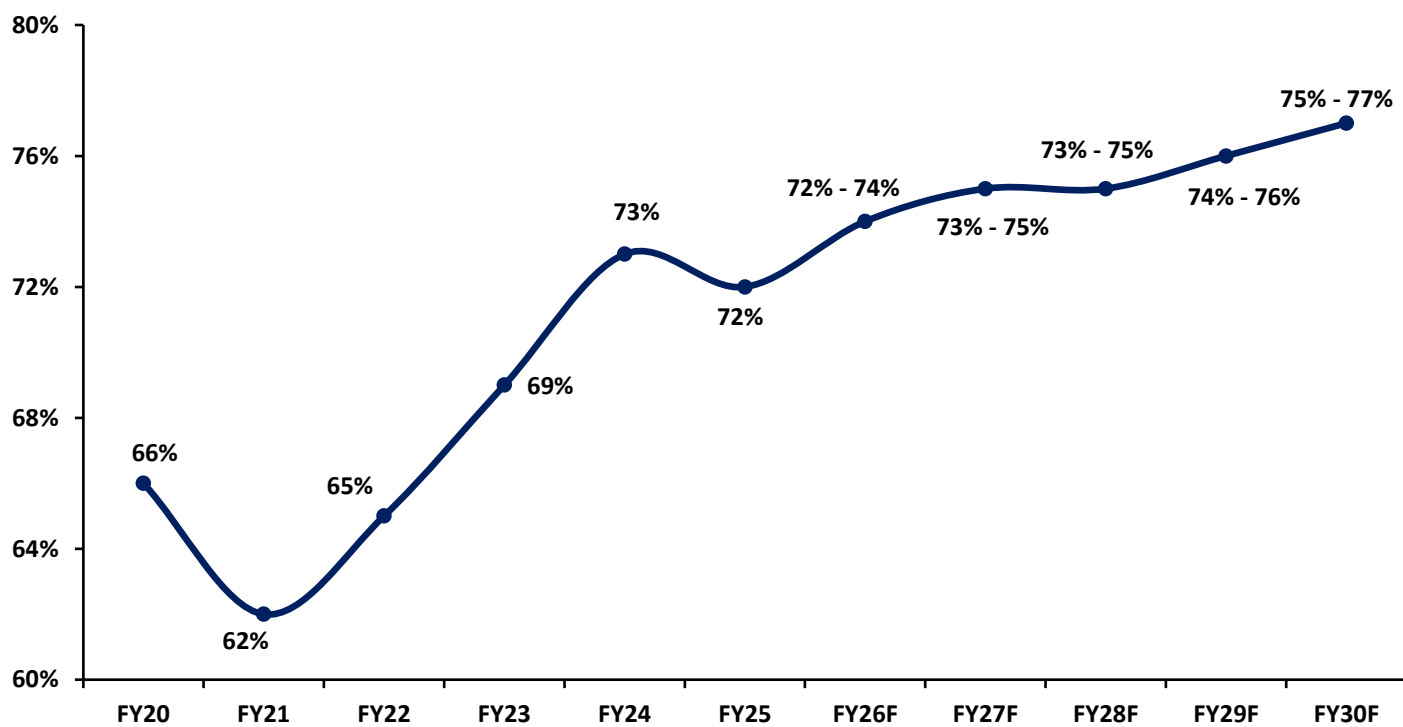
Source: RHP, SSL Research

Pan-India Installed Capacity (MT)



Source: RHP, SSL Research

Pan-India Utilization Rates (%)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	5,837	6,028	5,813
YoY growth	-	3.3%	-3.6%
Cost Of Revenues (incl. Stock Adj.)	1,563	1,312	1,459
Gross Profit	4,274	4,716	4,354
Gross margins	73.2%	78.2%	74.9%
Employee Cost	295	299	369
Power & Fuel	1,032	990	847
Freight & Handling Expenses	1,415	1,437	1,396
Other Operating Expenses	851	1,056	1,028
EBITDA	681	933	714
EBITDA margins	11.7%	15.5%	12.3%
Other Income	145	86	102
Interest Exp.	310	435	450
Depreciation	373	278	310
PBT	144	306	55
Share of Profit/(Losses) in JVs & Associates	(19)	(82)	(98)
Tax	21	162	120
Reported PAT	104	62	(164)
Reported PAT margin	1.8%	1.0%	-2.8%
PAT excluding minority interest	137	90	(114)
PAT margin excluding minority interest	2.3%	1.5%	-2.0%

BALANCE SHEET			
Particulars (Rs cr)	FY23	FY24	FY25
Assets			
Net Block	3,493	4,870	5,438
Capital WIP	1,575	739	1,025
Intangible Assets	926	895	942
Intangible Assets under development	15	31	13
Right of use assets	226	424	404
Other Non-current Assets	1,626	1,710	1,779
Current Assets			
Current Investment	-	327	80
Inventories	448	475	428
Trade receivables	711	783	782
Cash and Bank Balances	55	316	124
Short-term loans and advances	238	228	297
Other Current Assets	905	522	692
Total Current Assets	2,357	2,651	2,403
Current Liabilities & Provisions			
Trade payables	1,084	1,222	1,238
Other current liabilities	889	978	1,267
Short-term provisions	-	1	1
Total Current Liabilities	1,973	2,201	2,506
Net Current Assets	384	449	(104)
Total Assets	8,245	9,118	9,497
Liabilities			
Share Capital	986	986	986
Reserves and Surplus	1,306	1,478	1,366
Total Shareholders' Funds	2,292	2,465	2,353
Minority Interest	(51)	(79)	20
Total Debt	5,422	5,836	6,167
Long Term Provisions	85	87	95
Lease Liabilities	220	418	396
Other Long-Term Liabilities	13	11	12
Net Deferred Tax Liability	266	381	456
Total Liabilities	8,245	9,118	9,497

CASHFLOW			
Particulars (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	653	1,408	737
Cash flow from Investing Activities	(1,793)	(1,120)	(558)
Cash flow from Financing Activities	1,041	(221)	(232)
Free Cash Flow	(981)	476	(415)

RATIOS			
Particulars	FY23	FY24	FY25
Profitability			
Return on Assets	1.3%	0.8%	-
Return on Capital Employed	5.9%	8.9%	5.9%
Return on Equity	6.0%	3.6%	-
Margin Analysis			
Gross Margin	73.2%	78.2%	74.9%
EBITDA Margin	11.7%	15.5%	12.3%
Net Profit Margin	2.3%	1.5%	-2.0%
Short-Term Liquidity			
Current Ratio (x)	0.9	0.7	0.7
Quick Ratio (x)	0.7	0.6	0.5
Avg. Days Sales Outstanding	44	47	49
Avg. Days Inventory Outstanding	105	132	107
Avg. Days Payables	77	88	89
Fixed asset turnover (x)	1.7	1.2	1.1
Debt-service coverage (x)	0.1	0.1	0.1
Long-Term Solvency			
Total Debt / Equity (x)	2.4	2.4	2.6
Interest Coverage Ratio (x)	1.5	1.7	1.1
Valuation Ratios*			
EV/EBITDA (x)	34.9	25.7	34.3
P/E (x)	134.8	205.3	-
P/B (x)	8.0	7.5	7.8
EV/Sales (x)	4.1	4.0	4.2
Mkt Cap/Sales (x)	3.2	3.1	3.2

**Valuation ratios are based on pre-issue capital at the upper price band*

Adj. EBITDA is EDITDA adjusted for MTM losses on Compulsorily Convertible Preference Shares (CCPS).

Source: RHP, SSL Research

Peer Comparison (FY25)

Particulars (Rs cr)	JSW Cement Ltd	UltraTech Cement Ltd	Ambuja Cements Ltd	Dalmia Bharat Ltd	The Ramco Cements Ltd	Nuvoco Vistas Corporation Ltd
Financial Overview						
CMP (Rs)	147	12,257	605	2,224	1,168	431
Sales	5,813	75,955	35,045	13,980	8,518	10,357
EBITDA	714	12,797	5,971	2,407	1,234	1,373
Adj. EBITDA ^{^1}	858	12,797	5,971	2,407	1,234	1,373
Net Profit	(114)	6,085	4,143	701	101	22
Mkt Cap.	20,041	3,61,188	1,49,019	41,719	27,587	15,377
Enterprise Value	24,484	3,82,546	1,42,873	46,819	32,030	19,017
EBITDA Margin (%)	12.3	16.8	17.0	17.2	14.5	13.3
Adj. EBITDA Margin ^{^1} (%)	14.8	16.8	17.0	17.2	14.5	13.3
Net Profit Margin (%)	(2.0)	8.0	11.8	5.0	1.2	0.2
P/E (x)	-	59.4	36.0	59.5	273.1	705.0
EV/EBITDA (x)	34.3	29.9	23.9	19.5	26.0	13.9
EV/Adj. EBITDA ^{^1} (x)	28.5	29.9	23.9	19.5	26.0	13.9
RoE (%)	-	8.6%	7.8%	4.0%	1.4%	0.2%
RoCE (%)	5.0%	9.9%	11.4%	5.5%	4.8%	4.1%
EV/Sales (x)	4.2	5.0	4.1	3.3	3.8	1.8
EV/Ton (\$) ^{^2}	135.4	237.7	162.3	107.8	149.6	86.7
Operational Parameters						
Installed Grinding Capacity (MTPA)	20.6	183.4	100.3	49.5	24.4	25.0
Cement Capacity Utilization (%)	62.9	78.0	84.0	63.0	74.6	78.0
Cement Sales Volume (MMT)	7.1	133.1	65.2	29.4	18.5	19.4
Cement EBITDA per Ton (Rs)	645	979	916	820	690	636

For JSW Cement Limited, the Market Cap, P/E(x), EV/EBITDA (x), EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP for peer companies as on 4th August, 2025

^{^1} Adj. EBITDA is EDITDA adjusted for MTM losses on Compulsorily Convertible Preference Shares (CCPS).

^{^2} Conversion Rate of \$ 1 = Rs 87.8

Source: RHP, Exchange Filings, SSL Research

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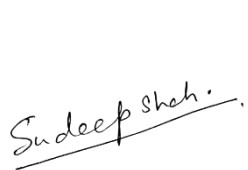
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